

or market shocks. A company with a clean balance sheet has more degrees of freedom than a highly leveraged one.

Finally, a balance sheet can provide clues to a company's underlying business performance. It's important to be able to identify red flags. Are the reported earnings consistent with the free cash flow generated by a company? Are the days it takes to collect on receivables or the number of days that inventory is held longer than in the past? Are liabilities growing faster than the business is? Investors will want to conduct such analyses before taking a position.

Graham and Dodd's emphasis on book value may have been supplanted by newer metrics, but their focus on balance sheet analysis remains valid. Balance sheet scrutiny is a necessary though not sufficient step in analyzing investments. A successful investor should always delve into the smallest balance sheet details in order to ferret out clues as to the true merits of a business and the challenges facing it. No matter how robust an investor's models and algorithms may be, it always pays to read the footnotes.